NOMURA

Xiaomi Corporation 1810.HK 1810 HK

Global Markets Research
2 March 2026

EQUITY: TECHNOLOGY

2026F: the year of challenges

Rising cost pressure is likely increasingly negative for the demand and profitability of SP/ EV businesses

Action: maintain Neutral and lower TP to HKD33

Our cautious view on Xiaomi since 3Q25 (*link 1* , *link 2*) is mainly owing to: 1) smartphone (SP) shipments will likely have downside risk amid rising bill of materials (BOM) cost; 2) IoT sales base has been high since 2H24-1H25; and 3) market expectation on the EV business is already high. We remain concerned over Xiaomi's SP and EV businesses in 2026F as both demand and profitability could be weaker than expected. As a result, we lower our TP to HKD33, based on average 2026-27F SOTP-based valuation with lower P/S multiple (refer to *Fig. 4*).

SP: shipment could be down by ~20% y-y in 2026F

We previously estimated Xiaomi's SP shipment could decline in single digit y-y in 2026F in late-2025F, but after a couple of months of worsening market conditions, we now think Xiaomi's SP shipments could be down by ~20% y-y if the overall cost pressure does not relieve throughout the year. Based on the current visibility and memory cost, we believe mobile DRAM price would continue to rise in strong double-digits sequentially in the next 1-2 quarters.

EV: margin pressure from lithium price hike; demand uncertainty on policy shift

In the near-term, we believe Xiaomi's EV business is likely to face margin pressure in 1H26F amid surging lithium prices, which constitute more than 10% of total battery costs, where battery contributes ~40-50% of EV production costs. According to Wind, lithium prices have risen sharply to CNY172,620 per tonne in March 2026, marking a 135% growth since 4Q25, driven by supply constraints and robust demand from energy storage sectors. In the mid-term, we expect the uncertain EV demand in China to weigh on Xiaomi's EV sales momentum, which is partly attributable to unfavorable government subsidy policy.

When would be a better time to re-visit the stock?

According to our historical SOTP simulation (*Fig. 4*) for Xiaomi vs its stock price, Xiaomi's hardware business recorded a significant de-rating during 2022-23 when the overall market demand in China was weak (*Fig. 4*). The same de-rating risk has been emerging again. Thus, we recommend investors to wait for the valuation to reach the low levels recorded in 2022. On the other hand, if Xiaomi can recover its business from 2027F onwards with the potential third wave of new business growth next to SP/IoT (1st wave) in 2020-2021 and EV (2nd wave) in 2024-2025, such as robotics after further likely correction in 2026F, then it could be a better entry point, in our view.

Year-end 31 Dec	FY24	FY25F		FY26F		FY27F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	365,906	480,223	460,403	614,614	518,695	666,609	640,611
Reported net profit (mn)	23,658	44,476	47,641	55,738	43,893	60,391	55,962
Normalised net profit (mn)	23,658	44,476	47,641	55,738	43,893	60,391	55,962
FD normalised EPS	92.77c	1.71	1.77	2.14	1.63	2.32	2.08
FD norm. EPS growth (%)	34.4	84.3	91.3	25.3	-7.9	8.3	27.5
FD normalised P/E (x)	31.0	–	16.2	–	17.6	–	13.8
EV/EBITDA (x)	26.7	–	17.6	–	17.4	–	10.6
Price/book (x)	3.8	–	3.2	–	2.7	–	2.2
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	13.4	21.1	22.4	21.4	17.0	18.9	18.2
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	**Neutral**
Target price Reduced from HKD 61.00	**HKD 33.00**
Closing price 2 March 2026	**HKD 33.14**
Implied upside	**-0.4%**
Market Cap (USD mn)	110,780.9
ADT (USD mn)	746.7

Relative performance chart

Source: LSEG, Nomura

Research Analysts

China Technology

Donnie Teng - NIHK
donnie.teng@nomura.com
+852 2252 1439

Anne Lee, CFA - NITB
anne.lee@nomura.com
+886(2) 21769966

Frank Fan - NIHK
frank.fan@nomura.com
+852 2252 2195

Joel Ying, CFA - NIHK
joel.ying@nomura.com
+852 2252 2153

Production Complete: 2026-03-02 15:57 UTC

Key data on Xiaomi Corporation

Performance

(%)	1M	3M	12M		
Absolute (HKD)	-5.5	-18.6	-36.1	M cap (USDmn)	110,780.9
Absolute (USD)	-5.6	-18.9	-36.4	Free float (%)	15.2
Rel to Hang Seng Index	-4.9	-20.6	-52.2	3-mth ADT (USDmn)	746.7

Income statement (CNYmn)

Year-end 31 Dec	FY23	FY24	FY25F	FY26F	FY27F
Revenue	270,970	365,906	460,403	518,695	640,611
Cost of goods sold	-213,494	-289,346	-357,054	-408,453	-499,982
Gross profit	57,476	76,560	103,350	110,242	140,629
SG&A	-40,107	-51,322	-65,897	-73,050	-87,658
Employee share expense	-3,344	-3,719	-5,136	-5,273	-6,512
Operating profit	14,025	21,519	32,317	31,919	46,460
EBITDA	18,862	27,837	40,606	42,428	59,210
Depreciation	-2,402	-3,626	-5,174	-6,918	-8,572
Amortisation	-2,434	-2,692	-3,115	-3,591	-4,179
EBIT	14,025	21,519	32,317	31,919	46,460
Net interest expense	2,002	3,624	854	854	854
Associates & JCEs	46	277	201	0	0
Other income	5,938	2,707	24,247	20,000	20,000
Earnings before tax	22,011	28,127	57,619	52,773	67,314
Income tax	-4,537	-4,548	-10,070	-8,971	-11,443
Net profit after tax	17,474	23,578	47,550	43,802	55,870
Minority interests	1	80	91	91	91
Other items					
Preferred dividends					
Normalised NPAT	17,475	23,658	47,641	43,893	55,962
Extraordinary items					
Reported NPAT	17,475	23,658	47,641	43,893	55,962
Dividends					
Transfer to reserves	17,475	23,658	47,641	43,893	55,962
Valuations and ratios					
Reported P/E (x)	41.7	31.0	16.2	17.6	13.8
Normalised P/E (x)	41.7	31.0	16.2	17.6	13.8
FD normalised P/E (x)	41.7	31.0	16.2	17.6	13.8
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	17.6	18.7	16.3	–	5.9
Price/book (x)	4.4	3.8	3.2	2.7	2.2
EV/EBITDA (x)	39.5	26.7	17.6	17.4	10.6
EV/EBIT (x)	53.1	34.4	22.1	23.2	13.5
Gross margin (%)	21.2	20.9	22.4	21.3	22.0
EBITDA margin (%)	7.0	7.6	8.8	8.2	9.2
EBIT margin (%)	5.2	5.9	7.0	6.2	7.3
Net margin (%)	6.4	6.5	10.3	8.5	8.7
Effective tax rate (%)	20.6	16.2	17.5	17.0	17.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	11.4	13.4	22.4	17.0	18.2
ROA (pretax %)	5.2	6.6	8.7	7.9	10.5
Growth (%)					
Revenue	-3.3	35.0	25.8	12.7	23.5
EBITDA	113.9	47.6	45.9	4.5	39.6
Normalised EPS	605.6	34.4	91.3	-7.9	27.5
Normalised FDEPS	605.6	34.4	91.3	-7.9	27.5

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY23	FY24	FY25F	FY26F	FY27F
EBITDA	18,862	27,837	40,606	42,428	59,210
Change in working capital	164	34,155	8,952	-74,837	61,631
Other operating cashflow	22,275	-22,697	-2,125	29,240	9,411
Cashflow from operations	41,300	39,295	47,433	-3,169	130,252
Capital expenditure	-7,662	-10,480	-13,187	-14,856	-14,093
Free cashflow	33,638	28,815	34,246	-18,026	116,158
Reduction in investments	-14,060	-9,269	0	0	0
Net acquisitions					
Dec in other LT assets	15,910	-29,869	0	0	0
Inc in other LT liabilities					
Adjustments	-29,357	14,232	-2,788	-3,141	-3,880
CF after investing acts	6,131	3,909	31,458	-21,167	112,279
Cash dividends	0	0	0	0	0
Equity issue	0	0	0	0	0
Debt issue	4,213	2,746	0	0	0
Convertible debt issue					
Others	-4,321	-6,625	0	0	0
CF from financial acts	-107	-3,879	0	0	0
Net cashflow	6,024	30	31,458	-21,167	112,279
Beginning cash	27,607	33,631	33,661	65,120	43,953
Ending cash	33,631	33,661	65,120	43,953	156,231
Ending net debt	-5,774	-3,058	-34,517	-13,350	-125,628

Balance sheet (CNYmn)

As at 31 Dec	FY23	FY24	FY25F	FY26F	FY27F
Cash & equivalents	33,631	33,661	65,120	43,953	156,231
Marketable securities	20,696	28,824	28,824	28,824	28,824
Accounts receivable	12,151	14,589	28,298	20,019	39,655
Inventories	44,423	62,510	41,183	77,437	67,763
Other current assets	88,151	86,125	98,695	108,074	121,387
Total current assets	199,053	225,709	262,119	278,306	413,860
LT investments	67,122	68,263	68,263	68,263	68,263
Fixed assets	13,721	18,088	26,100	34,039	39,561
Goodwill	282	282	282	282	282
Other intangible assets	8,347	7,871	7,544	7,095	6,795
Other LT assets	35,723	82,943	82,943	82,943	82,943
Total assets	324,247	403,155	447,252	470,928	611,705
Short-term debt	6,183	13,327	13,327	13,327	13,327
Accounts payable	62,099	98,281	95,715	65,429	129,085
Other current liabilities	47,306	63,777	80,248	73,051	94,300
Total current liabilities	115,588	175,385	189,290	151,806	236,712
Long-term debt	21,674	17,276	17,276	17,276	17,276
Convertible debt					
Other LT liabilities	22,724	21,289	3,932	21,289	21,289
Total liabilities	159,986	213,950	210,497	190,372	275,278
Minority interest	266	467	467	467	467
Preferred stock					
Common stock	0	0	0	0	0
Retained earnings	163,995	188,737	236,287	280,089	335,959
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	163,995	188,738	236,287	280,089	335,960
Total equity & liabilities	324,247	403,155	447,252	470,928	611,705
Liquidity (x)					
Current ratio	1.72	1.29	1.38	1.83	1.75
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	69.00c	92.77c	1.77	1.63	2.08
Norm EPS (CNY)	69.00c	92.77c	1.77	1.63	2.08
FD norm EPS (CNY)	69.00c	92.77c	1.77	1.63	2.08
BVPS (CNY)	6.59	7.60	9.12	10.81	12.97
DPS (CNY)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	16.2	13.4	17.0	17.0	17.0
Days inventory	81.3	67.6	53.0	53.0	53.0
Days payable	98.7	101.4	99.2	72.0	71.0
Cash cycle	-1.3	-20.4	-29.2	-2.0	-1.0

Source: Company data, Nomura estimates

Company profile

Xiaomi is a Chinese designer and manufacturer of consumer electronics and related software, home appliances, and IoTs. It is the third largest manufacturer of smartphones in the world in since 2021, according to management.

Valuation Methodology

Our TP of HKD33 is based on SoTP methodology. Benchmark index for this stock is the Hang Seng Index.

Risks that may impede the achievement of the target price

Upside/Downside risks to our projections include: 1) faster/slower-than-expected expansion of smartphone business; 2) success/failure in growing smart TV/IoT products shipments; 3) faster/slower-than-expected internet sales growth, or MAU growth for hardware users, and; 4) faster/slower-than-expected expansion of EV business.

ESG

Xiaomi published ESG report annually, and we do not see any issue. Xiaomi has been officially removed from US Pentagon's blacklist that previously have restricted American investment in Xiaomi.

Fig. 1: Xiaomi's EV cost structure

Items	YU7	SU7
Materials (bill of materials)	85%	86%
Battery, motor, and electronic control system	41%	51%
Body & Chassis	16%	17%
Intelligent connectivity	15%	16%
Interior & Exterior Trim	14%	16%
In-house parts / Manufacturing cost	7%	7%
R&D / tooling & molds	7%	6%
Logistics	1%	1%
Total cost	**100%**	**100%**

Source: Nomura estimates
Note: The cost structure is based on our estimates for specific model, and there may be deviations in the cost structure across different models.

Fig. 2: Xiaomi's EV monthly shipment

Source: Nomura estimates, company data

Earnings forecasts

We factor in Xiaomi's strong 2H24 and 1Q25 results, and introduce our 2H25-2027F forecasts. We expect Xiaomi's sales and earnings growth to moderate h-h in 2H25F, mainly due to the slow down of the core business (SP + IoT). The EV business is likely to maintain robust growth in 2025-27F.

Fig. 3: Xiaomi's P&L

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25F	4Q25F	2024	2025F	2026F	2027F
Net Sales	75,507	88,888	92,507	109,005	111,293	115,956	113,121	120,033	365,906	460,403	518,695	640,611
Cost of Goods Sold	58,677	70,494	73,625	86,550	85,887	89,855	87,185	94,127	289,346	357,054	408,453	499,982
Gross Profit	16,830	18,394	18,881	22,455	25,406	26,101	25,936	25,907	76,560	103,350	110,242	140,629
Operating Expenses	13,147	12,505	12,840	13,565	12,281	12,664	10,826	10,814	52,057	46,585	58,323	74,170
Operating Income	3,683	5,889	6,041	8,890	13,125	13,437	15,110	15,093	24,503	56,765	51,919	66,460
Pre-Tax Income	5,222	6,679	6,817	9,408	13,168	14,403	14,956	15,093	28,127	57,619	52,773	67,314
Net Income	4,182	5,098	5,352	9,026	10,924	11,904	12,271	12,541	23,658	47,641	43,893	55,962
Adjusted Net Income	6,500	6,204	6,264	8,347	10,707	10,862	11,325	12,369	28,558	41,259	37,648	50,956
EPS - Diluted	0.16	0.20	0.21	0.35	0.42	0.44	0.46	0.47	0.93	1.77	1.63	2.08
Adjusted EPS - Diluted	0.26	0.24	0.25	0.33	0.41	0.41	0.42	0.46	1.12	1.54	1.40	1.90
Profitability												
Gross Margin	22.3%	20.7%	20.4%	20.6%	22.8%	22.5%	22.9%	21.6%	20.9%	22.4%	21.3%	22.0%
Operating Margin	5%	7%	7%	8%	12%	12%	13%	13%	6.7%	12.3%	10.0%	10.4%
Profit Margin	6%	6%	6%	8%	10%	10%	11%	10%	6.5%	10.3%	8.5%	8.7%
QoQ												
Net Sales	3%	18%	4%	18%	2%	4%	-2%	6%				
Gross Profit	8%	9%	3%	19%	13%	3%	-1%	0%				
Operating Expenses	25%	-5%	3%	6%	-9%	3%	-15%	0%				
Operating Income	-27%	60%	3%	47%	48%	2%	12%	0%				
Net Income	-12%	22%	5%	69%	21%	9%	3%	2%				
Adjusted Net Income	32%	-5%	1%	33%	28%	1%	4%	9%				
EPS - Diluted	-12%	22%	5%	68%	19%	6%	3%	2%				
Adjusted EPS - Diluted	31%	-4%	1%	33%	26%	-2%	4%	9%				
YoY												
Net Sales	27%	32%	30%	49%	47%	30%	22%	10%	35%	26%	13%	24%
Gross Profit	45%	30%	17%	44%	51%	42%	37%	15%	33%	35%	7%	28%
Operating Expenses	131%	24%	16%	28%	-7%	1%	-16%	-20%	39%	-11%	25%	27%
Operating Income	-38%	46%	21%	76%	256%	128%	150%	70%	22%	132%	-9%	28%
Net Income	-1%	39%	10%	91%	161%	134%	129%	39%	35%	101%	-8%	27%
Adjusted Net Income	102%	21%	4%	70%	65%	75%	81%	48%	51%	44%	-9%	35%
EPS - Diluted	-3%	34%	9%	90%	156%	122%	117%	32%	34%	91%	-8%	27%
Adjusted EPS - Diluted	96%	16%	4%	69%	61%	66%	71%	41%	50%	37%	-9%	35%

Source: Company data, Nomura estimates

Valuation methodology and risks

We maintain Neutral on Xiaomi but lower our TP to HKD33, based on SoTP method (our assumptions of EV/Sales for the hardware business at around 0.3-0.8x in 2026-27F, down from earlier 1.6x; EV/gross profit for the internet business remains at around 6-7x; EV/Sales for the EV business at 1-1.5x, down from earlier 1-3x. This is based on Xiaomi's historical valuation back in 2022-23, when the SP market was turning into a two year downcycle due to weak macroeconomic in China

Upside/Downside risks to our projections include: 1) faster/slower-than-expected expansion of smartphone business; 2) success/failure in growing smart TV/IoT products shipments; 3) faster/slower-than-expected internet sales growth, or MAU growth for hardware users, and 4) faster/slower-than-expected expansion of EV business.

Fig. 4: Xiaomi: SoTP methodology

Segment financial

(CNY mn)	2021	2022	2023	2024	2025F	2026F	2027F
Sales	**328,309**	**280,091**	**270,970**	**365,906**	**460,403**	**518,695**	**640,611**
Smartphone	208,869	167,264	157,461	191,759	186,512	165,566	179,559
YoY	37%	-20%	-6%	22%	-3%	-11%	8%
Global unit shipment (mn)	190	151	146	169	165	138	143
China unit shipment (mn)	51	39	36	42	44	39	41
IoT	84,980	79,795	80,108	104,104	124,940	134,048	144,974
YoY	26%	-6%	0%	30%	20%	7%	8%
Global TV unit shipment (mn)	13	12	11	11	10	10	10
Internet	28,212	28,321	30,107	34,115	37,298	39,802	42,010
YoY	19%	0%	6%	13%	9%	7%	6%
EV				32,754	107,195	174,821	269,610
YoY					227%	63%	54%
Global unit shipment (k)				135	412	630	954
Others	6,248	4,711	3,294	3,174	4,458	4,458	4,458
YoY	149%	-25%	-30%	-4%	40%	0%	0%
Gross profit	**58,261**	**47,577**	**57,476**	**76,560**	**103,350**	**110,242**	**140,629**
Smartphone	24,861	14,969	22,981	24,254	20,594	14,896	17,956
IoT	11,092	11,498	13,079	21,092	28,810	25,185	28,734
Internet	20,896	20,347	22,334	26,147	28,659	30,613	32,286
EV				6,050	26,512	40,773	62,880
Others	1,413	763	(917)	(983)	(1,225)	(1,225)	(1,225)

Valuation

(CNY mn except for per share data)	2021	2022	2023	2024	2025F	2026F	2027F	Average in 2026-27F
Hardware								
Sales	300,097	251,770	240,863	299,037	315,911	304,072	328,991	
Gross profit	37,366	27,230	35,142	44,363	48,179	38,856	45,464	
EV / Sales	**2.0**	**0.3**	**0.8**	**1.6**	**2.0**	**0.3**	**0.8**	
EV based on EV / Sales	600,195	75,531	192,690	478,460	631,822	91,222	263,193	177,207
Internet								
Sales	28,212	28,321	30,107	34,115	37,298	39,802	42,010	
Gross profit	20,896	20,347	22,334	26,147	28,659	30,613	32,286	
EV / GP	**10**	**6**	**7**	**7**	**10**	**6**	**7**	
EV based on EV / GP	208,956	122,083	165,271	193,486	286,591	183,679	226,000	204,839
EV								
Sales				32,754	107,195	174,821	269,610	222,216
Gross profit				6,050	26,512	40,773	62,880	51,827
EV / Sales				**2.3**	**4.5**	**1.0**	**1.5**	1.3
EV based on EV / Sales				75,333	482,377	174,821	404,415	277,769
EV adjustment (CNY mn)								
Less: Total Debt	26,247	23,644	27,857	30,603	30,603	30,603	30,603	30,603
Less: Preferred Securities	-	-	-	-	-	-	-	-
Less: Noncontrolling Interest	220	265	266	467	467	467	467	467
Plus: Cash and Cash Equivalents	23,512	27,607	33,631	33,661	65,120	43,953	156,231	156,231
Target price (HKD)								
Based on EV / Sales for hardware & EV and EV / GP for internet	**35**	**9**	**16**	**33**	**60**	**19**	**42**	**33**

Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See Disclaimers for Nomura Group entity details.

Analyst Certification

We, Donnie Teng, Anne Lee, Frank Fan and Joel Ying, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLC'), U. S. registered broker dealers and members of SIPC.

Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Xiaomi Corporation	1810 HK	HKD 33.14	02-Mar-2026	Neutral	N/A	A1,A2,A3,A10,A35

A1 The Nomura Group has received compensation for non-investment banking products or services from the subject company in the past 12 months.

A2 The Nomura Group has had a non-investment banking securities related services client relationship with the subject company during the past 12 months.

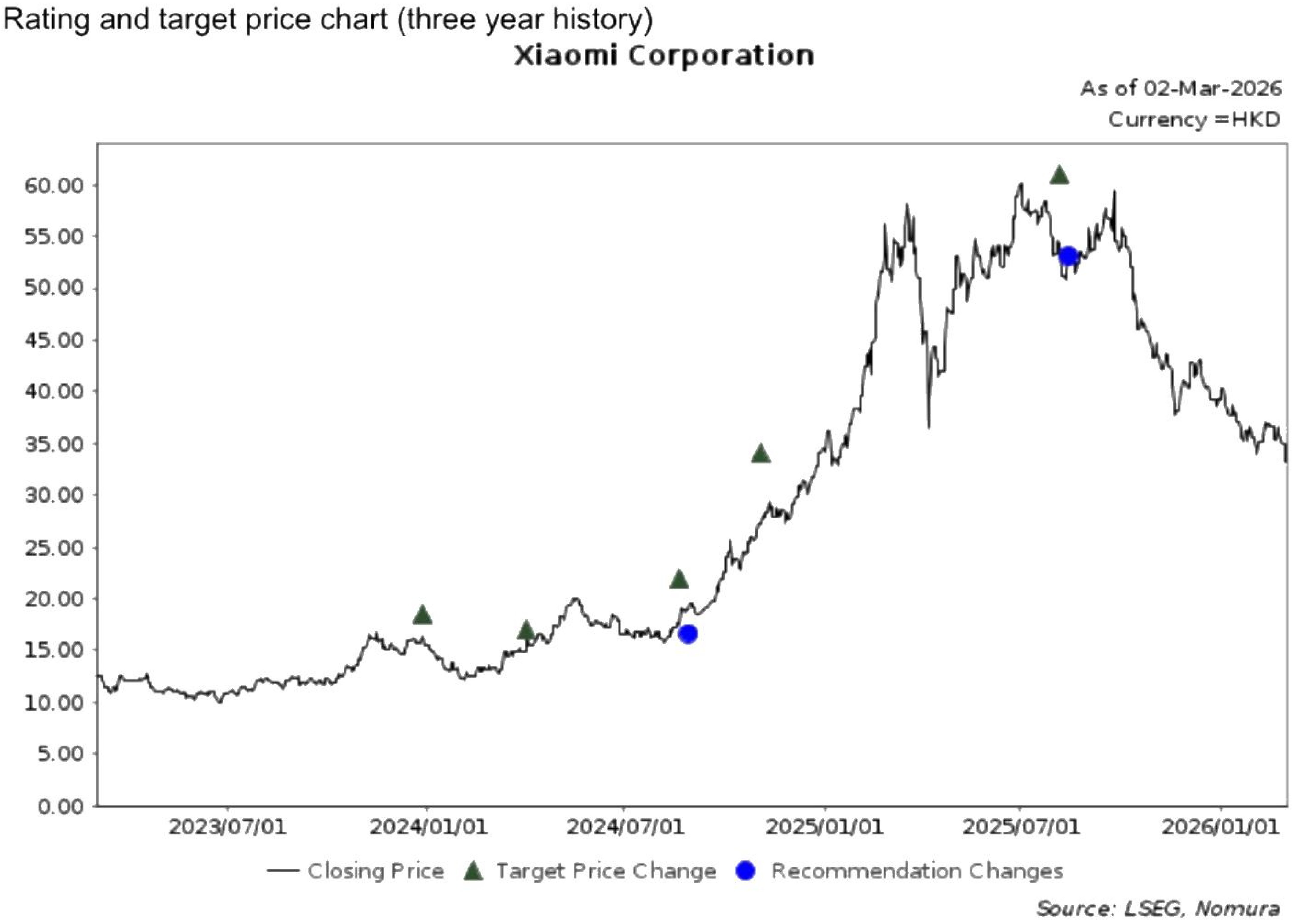
A3 The Nomura Group has had a non-securities related services client relationship with the subject company during the past 12 months.

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

A35 The Nomura Group beneficially owns 1% or more financial interest in the subject company.

Xiaomi Corporation (1810 HK) **HKD 33.14 (02-Mar-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
06-Aug-25	Neutral		54.00
06-Aug-25		61.00	54.00
03-Nov-24		34.00	27.30
21-Aug-24	Buy		17.52
21-Aug-24		22.00	17.52
01-Apr-24		17.00	14.94
28-Dec-23		18.60	16.28

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD33 is based on SoTP methodology. Benchmark index for this stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Upside/Downside risks to our projections include: 1) faster/slower-than-expected expansion of smartphone business; 2) success/failure in growing smart TV/IoT products shipments; 3) faster/slower-than-expected internet sales growth, or MAU growth for hardware users, and; 4) faster/slower-than-expected expansion of EV business.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.
Important disclosures may be read at http://go.nomuranow.com/research/m/Disclosures or requested from Nomura Securities International, Inc.
If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:
56% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 36% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.
42% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 56% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group
2% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 0% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.
As at 31 December 2025.
**The Nomura Group as defined in the Disclaimer section at the end of this report.*
*** As defined by the EU Market Abuse Regulation*

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst’s target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States:** S&P 500; **Europe:** Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan:** Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst’s forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at http://dis.kofia.or.kr, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: LINK

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information

obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.
Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.
The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFRC") and FTSE Russell ("Russell"). NFRC and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.
Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.
Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation.
Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.
With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.
The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.
This document has been approved for distribution in the UK as investment research by NIplc. NIplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. NIplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.
This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH ("NFPE"). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).
This document has been approved by NIHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NIHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.
This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.
This document has also been approved for distribution in Malaysia by NSM.
In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited,

expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT.
Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934.
The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.
This document has not been approved for distribution to persons other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia ('Saudi Arabia') or a 'Market Counterparty' or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates ('UAE') or a 'Market Counterparty' or a 'Business Customer' (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar ('Qatar') by Nomura Saudi Arabia, NIplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' located in Saudi Arabia or a 'Market Counterparty' or a 'Professional Client' in the UAE or a 'Market Counterparty' or a 'Business Customer' in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.
For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:
THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.
This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.
An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, "Offshore Issuers") that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.
NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.
Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:
http://go.nomuranow.com/research/m/Disclosures